

To raise finance for relief expenditure, strategies include individual donations, corporate sponsorships, government grants, and crowdfunding, while also leveraging skills and assets. The government's role involves providing direct funding through grants and schemes, fostering public-private partnerships, and creating portals for collaboration and funding opportunities. NGOs are crucial for mobilizing resources, reaching affected communities, advocating for needs, and partnering with government agencies and corporations to deliver relief effectively.

Ways to Raise Finance for Relief Expenditure

- **Individual Donations:**

Attract individual donors through compelling storytelling, engaging on social media, and offering recurring giving programs.

Individual donations for relief expenditure in India are often eligible for a tax deduction under Section 80G of the Income Tax Act, provided the donation is made to specific funds and entities, such as the Prime Minister's National Relief Fund (PMNRF). To

claim the deduction, individuals must provide details in their tax return, including the donee's name, PAN, and address, along with the mode and amount of contribution.

Key Aspects of Section 80G Deductions

- **Eligible Entities:**

Donations to certain funds and institutions are eligible for deduction. Examples include:

- The Prime Minister's National Relief Fund (PMNRF).
- National Defence Fund.
- National Foundation for Communal Harmony.
- Universities or educational institutions of national eminence.

- **Deduction Percentage:**

Donations to the PMNRF are notified for 100% deduction, but specific percentages may vary for other eligible entities.

- **Claiming the Deduction:**

You need to submit the following details with your income tax return:

- Name of the donee (the organization or fund).
- PAN of the donee.
- Address of the donee.
- Breakdown of the contribution (cash and other modes).
- The amount of the contribution eligible for deduction.

Important Considerations

- **Cash Donations:** Cash donations exceeding ₹2 lakh are subject to restrictions.
- **Business Expenditure vs. Donation:** If the donation is considered a business expenditure for certain purposes, it may be deductible under Section 37(1) instead of Section 80G.
- **Corporate Fundraising:**

Seek Corporate Social Responsibility (CSR) funding from businesses, and establish partnerships that leverage private sector expertise and resources.

Corporate fundraising for disaster relief involves companies making financial or in-kind donations, which can count towards their Corporate Social Responsibility (CSR) obligations in India. These efforts can include monetary grants, donations of goods like food or medical supplies, and support for disaster relief funds established by governments. Companies can engage their employees and the public through various initiatives to maximize impact and reach, ensuring that donations are coordinated with knowledgeable organizations to effectively meet needs on the ground.

Types of Corporate Contributions

- **Financial Grants:**

Direct financial contributions are often more effective than goods, as they allow experienced disaster response organizations to purchase exactly what is needed most.

- **In-Kind Donations:**

Donations of physical goods such as food, clothing, and medical supplies are valuable but should be carefully coordinated with relief organizations to avoid causing logistical challenges.

- **Direct Support for Relief Funds:**

Companies can donate to relief funds set up by Central or State governments to support broader disaster management efforts.

How Companies Can Engage

- **Employee Engagement:**

Companies can involve employees in disaster relief programs through donation matching, volunteer opportunities, or fundraising drives.

- **Strategic Partnerships:**

Collaborating with experienced non-profits and relief organizations ensures that donations are used effectively and efficiently.

Key Considerations for Effective Fundraising

- **Coordinate with Experts:**

To ensure donations make a tangible difference, coordinate in-kind contributions with experienced organizations on the ground.

- **Focus on Needs:**

Rather than sending unsolicited goods, provide resources that align with the actual needs identified by experts in disaster response.

- **Leverage Technology:**

Online platforms can be used to raise awareness and solicit donations from a broader network of potential donors.

- **Government Grants and Schemes:**

Apply for specific funding programs and grants offered by government bodies for disaster relief and social development.

In India, government disaster relief is primarily provided through the National Disaster Response Fund (NDRF) and the State Disaster Response Fund (SDRF), which receive contributions from the central and state governments for emergency

response, relief, and rehabilitation activities. Other significant initiatives include the [PM CARES Fund](#) for broader emergencies, and the [Aapda Mitra Scheme](#) for community volunteer training, the [Common Alert Protocol \(CAP\)](#) for disaster warnings, and the [Dial 112 ERSS](#) for emergency calls.

Central and State Funds

- [**National Disaster Response Fund \(NDRF\):**](#)

A fund managed by the central government for emergency response, relief, and rehabilitation following major disasters.

- [**State Disaster Response Fund \(SDRF\):**](#)

A fund at the state level that covers immediate relief for victims of disasters like floods, earthquakes, and cyclones. The central government contributes 75% of the funds for general states and 90% for special category states.

Other Disaster Relief Schemes

- [**PM CARES Fund:**](#)

A public charitable trust established by the Indian government for relief in various emergency situations, including those caused by disasters.

- **Aapda Mitra Scheme:**

A scheme to train community volunteers in 350 multi-risk disaster-prone districts across the country to improve response during disasters.

- **Common Alert Protocol (CAP):**

Provides geographically based, instant alerts on impending emergencies or disasters to mobile phones.

- **Dial 112 Emergency Response Support System (ERSS):**

A pan-India network for citizens to access emergency services, including those related to disasters, through a single number (112).

Key Initiatives

- **Post-Disaster Needs Assessment (PDNA):**

For severe disasters, state governments conduct a multi-sectoral PDNA to assess recovery and

reconstruction needs, which are then used to formulate projects for funding from the NDRF/SDRF.

- **Recovery and Reconstruction Funding:**

The Ministry of Home Affairs has issued guidelines for funding recovery and reconstruction activities through the NDRF/SDRF in case of severe disasters.

- Crowdfunding:

Launch crowdfunding campaigns for urgent, time-bound causes on platforms like GoFundMe to mobilize small contributions from many donors.

- Fundraising Events:

Host events, like fundraising galas or community gatherings, to raise funds and awareness.

- Social Enterprises:

Generate income through social enterprise activities or by selling goods and services to fund relief efforts.

Role of Government Agencies

- **Provide Direct Funding:**

Disburse funds through various grant programs and schemes, such as those offered by the Ministry of Social Justice and Empowerment for different development sectors.

- **Foster Public-Private Partnerships (PPPs):**

Facilitate collaborations between government entities and private companies to pool resources, share risks, and access new expertise and funding.

- **Create Platforms for Collaboration:**

Establish portals like [NGO Darpan](#) to promote transparency and collaboration between NGOs and the government, streamlining the funding process.

- **Establish Policies and Compliance:**

Create regulatory frameworks that support NGO fundraising, such as offering tax exemptions (e.g., Section 80G registration in India) to encourage individual and corporate donations.

Role of NGOs

- **Resource Mobilization:**

Act as primary channels for raising funds from diverse sources, including individuals, corporations, and foundations.

- **Community Outreach and Storytelling:**

Share compelling stories and visual content from the disaster-stricken areas to connect with donors and highlight the impact of their contributions.

- **Strategic Partnerships:**

Collaborate with government agencies, other NGOs, and private sector partners to enhance project implementation and resource access.

- **Advocacy and Awareness:**

Advocate for the needs of affected communities and educate the public and policymakers on critical relief efforts and funding requirements.

- **Capacity Building:**

Invest in training staff to improve fundraising, financial management, and compliance with

government regulations, building a strong foundation for sustainable funding.

Legal aspects of disaster finance raising involve adhering to the [Disaster Management Act](#) (as amended) in India, which outlines the framework for financing, including the creation of funds by the National and State Disaster Management Authorities. Overall disaster management is governed by this Act and related laws, establishing the National Disaster Management Authority (NDMA) and other bodies responsible for preparedness, response, and recovery, with recent amendments in 2024 strengthening the framework. International guidelines and the World Bank's Disaster Risk Financing and Insurance (DRFI) Program also provide frameworks for financial protection against disaster shocks, supporting preparedness, mitigation, and recovery efforts.

Finance Raising for Disaster Management

- [Disaster Management Act, 2005](#) (India):

This Act provides the primary legal basis for managing disasters in India. It establishes the creation of funds, such as the National Disaster Response Fund, managed by the NDMA, and the State Disaster Response Fund, for the purpose of providing financial assistance for relief and rehabilitation.

- **Disaster Management (Amendment) Bill, 2024:**

This recent bill amends the 2005 Act, further refining the legal framework for disaster management and financing.

- **Disaster Risk Financing and Insurance (DRFI):**

The World Bank leads a program that helps countries financially protect populations from disaster impacts through risk-pooling mechanisms and financing strategies.

- **International Disaster Response Law (IDRL):**

This branch of international law, supported by organizations like Professionals in Humanitarian Assistance and Protection (PHAP), focuses on ensuring humanitarian assistance during natural

disasters by providing legal frameworks for funding and delivery.

Legal Aspects of Overall Disaster Management

- **Legal Framework:**

The Disaster Management Act, 2005, and its amendments provide the comprehensive legal framework for the organized management of disasters.

- **Institutional Structures:**

The Act establishes the National Disaster Management Authority (NDMA), State Disaster Management Authorities (SDMAs), and District Disaster Management Authorities to oversee and implement disaster management activities.

- **Phases of Disaster Management:**

The legal framework applies across the different stages of disaster management: mitigation (reducing risks), preparedness (planning and training), response (during and immediately after an event), and recovery (long-term rebuilding).

- **Judicial Involvement:**

The judiciary in India, particularly the Supreme Court and High Courts, plays a crucial role in enforcing disaster management protocols and ensuring compliance with environmental regulations.

- **International Law:**

The legal framework for disaster management is also shaped by international agreements and principles, particularly International Disaster Response Law (IDRL), to improve the effectiveness of humanitarian responses.